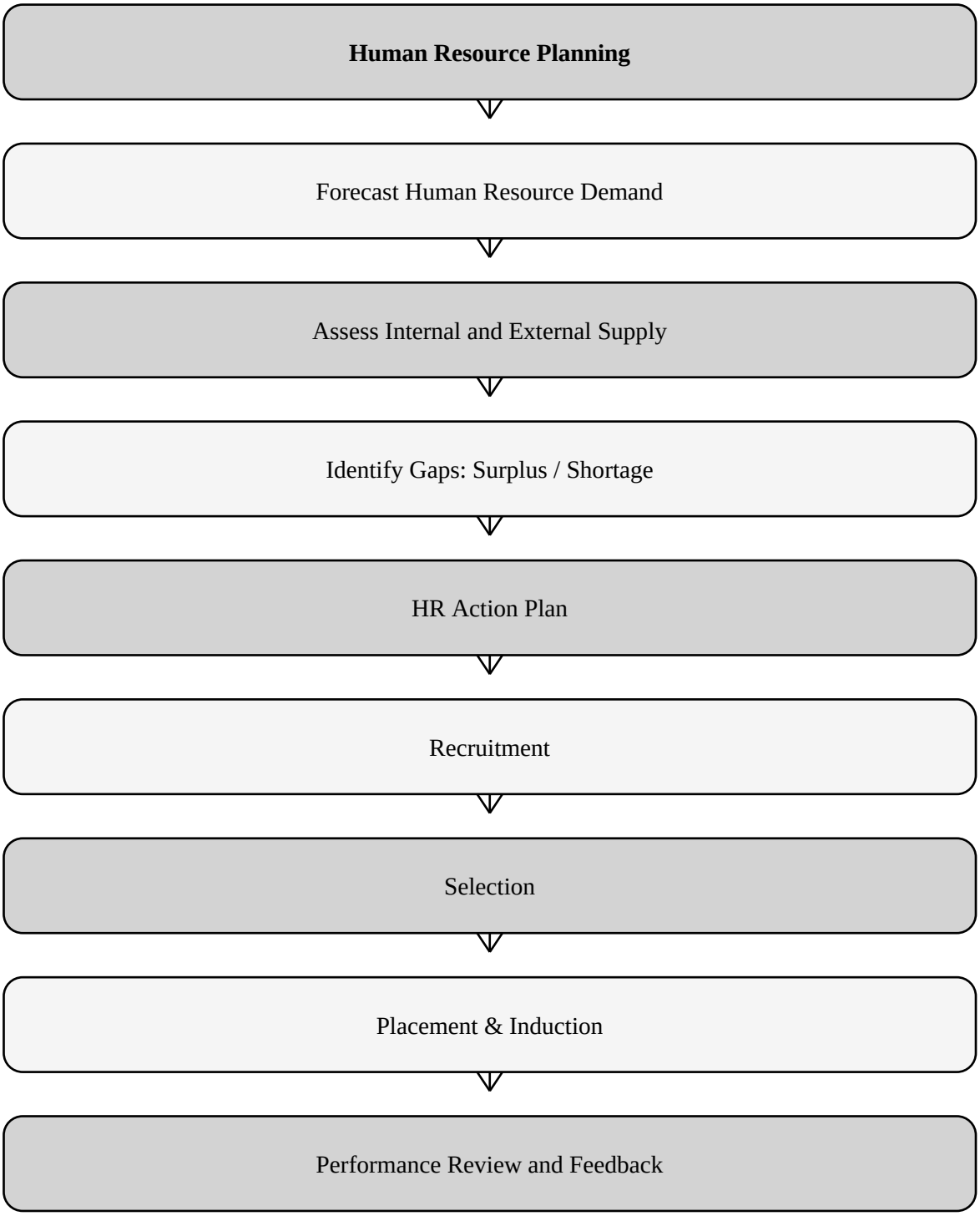

Human Resource Planning
Forecast Human Resource Demand
Assess Internal and External Supply
Identify Gaps: Surplus / Shortage
HR Action Plan
Recruitment
Selection
Placement & Induction
Performance Review and Feedback

1. Human Resource Planning (HRP)

Meaning

Human Resource Planning is the systematic process of estimating an organization's future human resource requirements and ensuring that the right number of people, with the right skills, are available at the right time and place. In simple words, HRP links the organization's business plans with its people requirements.

Simple formula

HRP = Future HR Demand + Future HR Supply + Gap Analysis + Action Plan

Example

Suppose a retail company plans to open 10 new stores. It estimates that each store needs 1 store manager, 2 supervisors and 12 sales employees. HRP helps determine the total requirement, identify employees who can be promoted, and calculate the additional recruitment needed.

Nature / Characteristics of HRP

• Future-oriented: focuses on anticipated human resource requirements.

• Goal-oriented: supports organizational objectives and business strategy.

• Continuous: plans are revised as business conditions, technology and labour markets change.

• Systematic: uses information about jobs, employees, turnover, productivity and future plans.

• Flexible: allows changes in workforce plans when demand changes.

• Integrated: connects recruitment, training, promotion, succession and compensation decisions.

Objectives of HRP

1. Ensure availability of the right number and type of employees.

2. Avoid overstaffing and understaffing.

3. Identify future skill requirements.

4. Support expansion, diversification, automation and restructuring.

5. Facilitate recruitment, training, promotion and succession planning.

6. Reduce labour costs arising from unnecessary manpower.

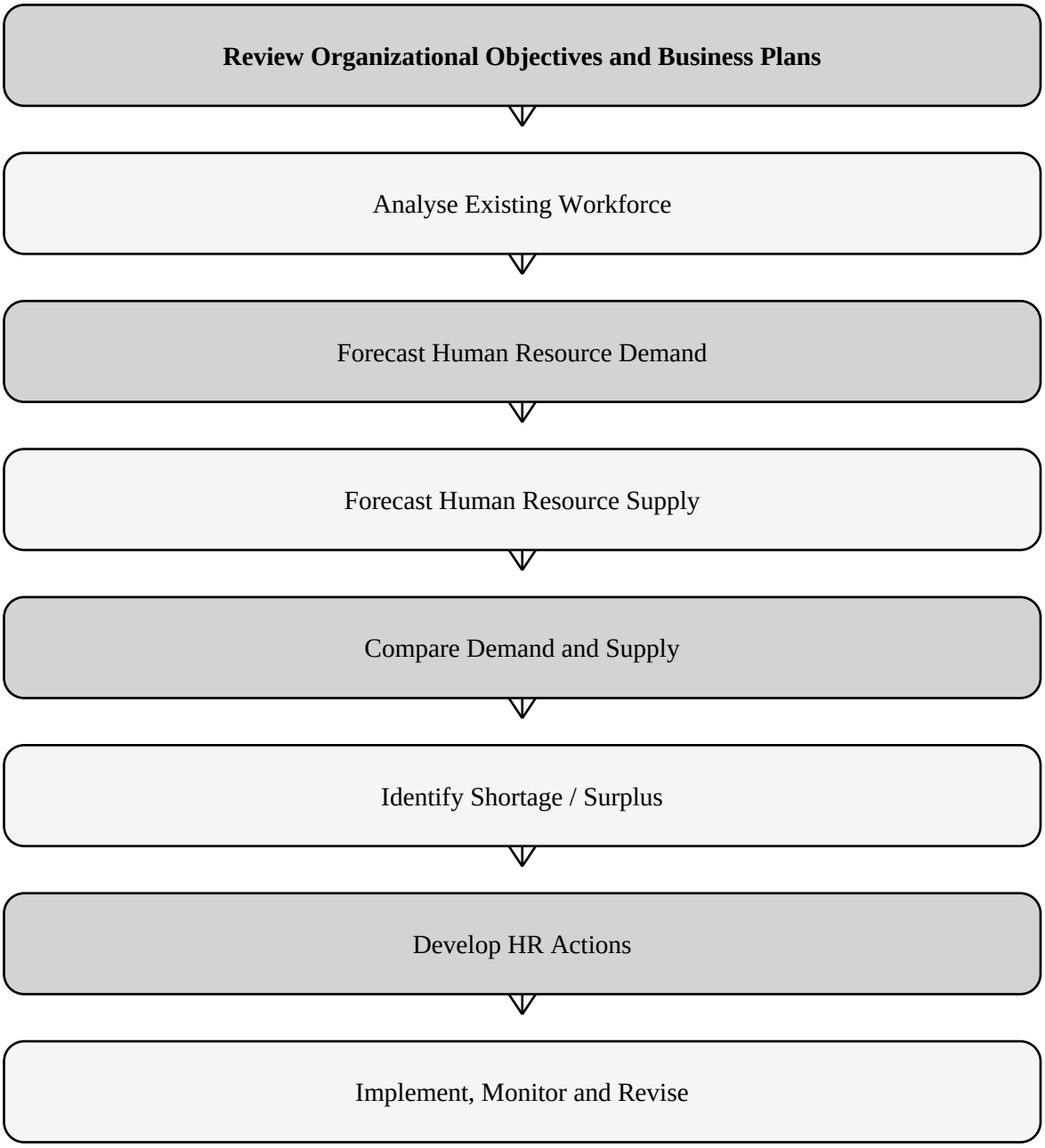
7. Prepare the organization for employee turnover and retirement.

8. Improve utilization of existing human resources.

Importance of HRP

Area	How HRP helps
Expansion	Estimates additional employees and skills needed for new units or markets.
Cost control	Reduces avoidable excess staffing and emergency hiring.
Skill planning	Identifies future competencies and training needs.
Succession	Prepares internal candidates for critical positions.
Change management	Anticipates workforce implications of technology or restructuring.

HRP Process



Demand Forecasting

Demand forecasting estimates how many employees and what kinds of skills will be required in the future. It may consider sales forecasts, production targets, technology, productivity, expansion plans and expected turnover.

Common approaches: managerial judgment, ratio-trend analysis, workload analysis, productivity ratios and quantitative/statistical techniques.

Supply Forecasting

Supply forecasting estimates the availability of human resources from internal and external sources. Internal supply includes current employees, promotions, transfers and succession candidates. External supply includes the labour market, educational institutions and recruitment agencies.

Gap Analysis

After demand and supply are estimated, HR compares the two. A shortage may lead to recruitment, training, overtime, outsourcing or automation. A surplus may lead to redeployment, reduced hiring, reskilling, voluntary separation or other workforce adjustments.

Exam point

HRP does not mean simply recruiting more people. It is a broader process of forecasting, balancing and developing human resources so that organizational objectives can be achieved efficiently.